

2 Project scope negotiations in Projects class

Exam Negotiations Class

Course Objective

Acquire negotiation skills under authentic, high-stress conditions:

"Your societal standing directly correlates with your negotiation proficiency."

Exam replacement negotiations offer an excellent opportunity to practice real-world negotiation techniques. Authentic negotiations require both parties to face mutual risks and potential gains.

Initial Agreement Statement

Avoid disputing established facts. They must be articulated clearly to achieve consensus on past events. Negotiations can only proceed after both parties acknowledge the foundational rules (the initial agreement) and the subsequent actions of the participants.

The stipulated rules of engagement were as follows:

- Certification substitutes the exam (excluding attendance requirements).
- In-class project participation substitutes the exam (excluding attendance). Project success is strictly unnecessary; failure still permits lessons-learned exercises. Consequently, in-class effort alone fulfills the exam substitution criteria.
- The instructor suspended individual attendance tracking to gauge organic class engagement, removing individual attendance mandates and associated stress. However, by selecting in-class

work as an exam or certification substitute, the cohort committed to a minimum collective attendance threshold (group responsibility). This mirrors the "tragedy of the commons": sporadic individual absences are tolerable, but systemic absenteeism breaches the cohort's agreement, holding all individuals collectively liable.

Sequence of Events

Student Actions:

- Certain students pursued certifications and subsequently abandoned class attendance.
- Others assumed the certification would be effortless, deferred its completion, and ceased attending.
- Attendance plummeted to 13% (4 out of 30 students).

Justification for Agreement Invalidation:

- Pursuing certification did not exempt students from attendance.
- The mere intention to certify did not exempt students from attendance.
- The cohort risks forfeiting future negotiation privileges with this instructor, defaulting strictly to rigorous exams.
- The cohort risks institutional reputational damage, jeopardizing alternative arrangements with all faculty. The prevailing faculty consensus will become:
"This cohort consistently exerts minimal effort, lacks ambition, and demonstrates zero engagement. Consequently, pedagogical success requires strictly mandatory, non-negotiable requirements."

Rationale for Renegotiation and Worst-Case Scenarios

- **Students:** Procrastination leads to certification failure, forcing them to sit for a rigorous exam completely unprepared due to

absenteeism.

- **Teacher:** Minimal attendance prevents knowledge transfer. Even if the certification covers the theoretical curriculum, students lose all opportunities to develop social interaction and communication competencies.

Stakeholder Interests

- **Student:** Minimal effort, exam evasion, and maximized schedule flexibility.
- **Teacher:** Maximized attendance, reduced student anxiety, and zero liability for student procrastination.

Negotiation Parameters and Alternatives

Certificate vs. In-Class Work vs. Exam Preparation:

- **In-class work:** Comprises 30 hours across 15 weekly sessions. This low-difficulty option guarantees top marks strictly through attendance and participation. It facilitates collaborative skill development beyond independent study, optimally satisfying both parties' objectives.
- **BUS402: Introduction to Project Management:** Entails 52 hours of self-paced coursework. This moderate-difficulty alternative provides the distinct advantage of externally validating competencies for prospective employers.
- **Exam:** Requires the strict memorization of a randomized 50% sample of all curriculum covered during the 30-hour course (verified via PDF notes). Limited to two attempts. This is a high-risk, maximum-difficulty trajectory.

Best Alternative To a Negotiated Agreement (BATNA)

Your BATNA represents the optimal fallback trajectory if negotiations collapse.

Your BATNA dictates your authentic bargaining leverage:

- Strong BATNA → Facilitates confident negotiation and the fearless capacity to decline unfavorable terms.
- Weak BATNA → Induces desperation, allowing the opposing party to dictate stringent terms.

Exam Negotiation BATNAs:

- **Student:** Sit for the rigorous exam. This constitutes an objective skill assessment. The instructor must issue a passing grade if the student meets the threshold. The instructor must distribute learning materials proactively; the exam strictly cannot encompass unprovided topics.
- **Teacher:** Rescind all alternatives and enforce the rigorous exam universally. This necessitates managing highly stressed students and accepting minimal interaction, as students will strictly prioritize the required learning materials.

Zone of Possible Agreement (ZOPA)

The Zone of Possible Agreement (ZOPA) manifests exclusively when both parties' BATNAs exhibit mutual overlap.

Exam Negotiation ZOPA:

- **Students:** Secure an exam exemption.
- **Teacher:** Secure continuous attendance and sustained effort.

Game-Theoretic Framework

This paradigm constitutes a sequential Principal-Agent problem characterized by moral hazard.

Nash Equilibrium is reached when no player can improve their own result by changing their strategy alone, assuming all other players keep their strategies exactly the same.

Once everyone is at a Nash Equilibrium, nobody has a reason to switch their approach unilaterally — doing so would make them worse off (or at best, no better).

This is a multi-player Tragedy of the Commons / repeated Prisoner's Dilemma game between the Teacher and the Student Cohort (treated as a collective player because of the explicit group-responsibility rule you set).

Players & Strategies (Simplified 2×2 Game)

Teacher strategies:

- Lenient = Offer flexible substitutes (certification or in-class work) again, but with your proposed new stricter collective attendance rules (the “soft fork”).
- Strict = Revoke all substitutes and enforce the rigorous exam for everyone.

Students (cohort) strategies:

- Cooperate = Substantially increase attendance + participation to meet the minimum collective threshold and actually use the substitute.
- Defect = Continue minimal effort / low attendance (as they already did: 13 % attendance after certifications).

This equilibrium is stable but Pareto inefficient - both sides would be better off in Lenient + Cooperate scenario, but that outcome is not stable without strong commitment devices. The past defection destroyed trust, so the cooperative outcome is no longer self-enforcing.

The current Nash Equilibrium manifests as follows:

1. Teacher offers an independent certification option.
2. Student ceases class attendance.
3. Student procrastinates the certification.
4. Student fails the certification.

5. Student fails the resultant exam.
6. Student transfers culpability to the Teacher.

The current trajectory (without intervention) naturally converges to the Nash Equilibrium of “everyone takes the rigorous exam.”

That is exactly why we are renegotiating now: we want to escape this bad equilibrium and steer toward the cooperative cell (in-class work + high attendance) by introducing credible new stricter rules.

Trade Framework: Concession Capabilities

Available Concessions:

- **Student:** Guaranteed attendance and milestone completion (via in-class project execution).
- **Teacher:** Assessment flexibility, thereby mitigating student anxiety.

Consensus Rules Soft Fork: Backward-Compatible Rule Tightening

Student Ratification of Revised Rules

Consequences of Declining Revised Rules:

- Students remain bound by the initial agreement parameters.
- Due to dual individual and group identities, members will incur negative systemic repercussions (e.g., the forfeiture of future exam replacement negotiations) as a direct result of the cohort's prior breach and the individual's refusal to adapt.
- The Teacher will honor the original obligations. Students successfully completing the certification will receive maximum marks without attendance mandates. Conversely, individuals failing to certify will face the rigorous exam, suffering the direct consequences of their refusal to renegotiate.

Consequences of Accepting Revised Rules:

- Students gain the leverage to propose and negotiate subsequent terms.
- The cohort will systematically protect procrastinating peers from confronting the rigorous exam with insufficient study time following a certification failure.
- The Teacher secures the bandwidth to instruct on supplementary knowledge beyond the strict exam syllabus.
- The cohort will re-establish a reputation for flexibility and iterative improvement. They will be deemed eligible for future negotiation privileges by demonstrating a mature comprehension of both individual and collective accountability.

Rationale for Stricter Revised Parameters

The initial framework permitted the student body to breach the contract, systematically eliminating the in-class option for the four attending students (who potentially sought to avoid both the certification and the exam). This resulted in project failure and precluded even post-mortem lessons learned due to insufficient critical mass. Consequently, the revised parameters must be unequivocally stricter to guarantee compliance from this specific demographic.

Rationale for Preserving Initial Agreement Baselines

No individual student should incur penalties for the collective cohort's transgressions. Furthermore, no student should experience mid-course rule volatility orchestrated unilaterally by the Teacher. Therefore, the revised framework must integrate the foundational rules of the initial agreement. The Teacher will honor all pre-existing stipulations, presenting the revised rules strictly as an optional, opt-in framework.

Rationale for Avoiding a Hard Fork (Backward-Incompatible Rule Overhaul)

Collective actions must never penalize an individual player's outcome. The foundational premise mandates that all participants accept the rules upon entry, which must subsequently remain immutable. An individual executing perfect compliance must remain categorically insulated from arbitrary outcome shifts (mid-game rule alterations). Unilateral rule modification by the dominant party constitutes "cheating" and permanently degrades the broader metagame.

Hard Fork Dynamics in Exam Negotiations:

Students possess valid grounds for grievance if the Teacher exercises unilateral, mid-course rule changes. While the cohort collectively breached the initial agreement, individual compliance remained intact (evidenced by the four attending students). Implementing a "hard fork" - imposing universal, retroactive requirement changes - guarantees the penalization of at least one compliant student. All participants require absolute protection against ex post facto rule modifications.

Proposed Practical Solution

Primary Objective for the Revised Framework:

- A strict, non-negotiable attendance threshold (e.g., 80%) required to maintain eligibility for either the certification or in-class project trajectories.

"Dead Man's Switch" via a signed waiver from students pursuing the certification, mandating they *"forfeit the right to dispute exam rigor upon certification failure"*:

- An "Assessment Choice Contract" codifying rules, critical deadlines, and the explicit consequences of procrastination.

A structural stress-reduction mechanism guaranteeing success transparency (if a student misses key objectives, the deficit becomes universally visible):

- Institute strict, Gantt-charted progress checkpoints for the certification trajectory. Failing to achieve milestone x by Week x triggers immediate disqualification from the certification path.
- Institute strict, Gantt-charted milestones for the in-class project trajectory. Failing to achieve milestone x by Week x triggers immediate disqualification from the in-class path.

Supplemental Student Incentives:

- In-class participation yields a guaranteed exam pass equivalent to a +1 grade elevation.
- A formal LinkedIn recommendation letter recognizing exceptional deliverables and achievements.

New in-class project proposal

Evolution of Project Management Knowledge in the Era of AI Agents:

- The Project Management body of knowledge encompasses a subset of practical PM knowledge.
- Within this subset, certain elements will remain relevant in the era of AI agents, during which professionals will oversee artificial agents rather than human personnel.
- Furthermore, specific additional knowledge regarding AI agents must be incorporated, as this will be essential and practical for agent management within projects.

Author:

Zbigniew Galar